

**Trade Reversal and Disputed Finality on a Centralised Crypto Exchange:
A Documentary Case Study of the Bitget VOXEL Incident**

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Abstract

On 20 April 2025 the centralised cryptocurrency exchange Bitget detected what it characterised as abnormal trading activity in its VOXELUSDT perpetual futures market. Within forty-eight hours Bitget had suspended accounts, reversed trades, and announced compensation. One counterparty disputed the exchange’s account and announced legal action. This paper documents the incident from primary sources. It records the dated sequence of Bitget’s public statements, the contractual provisions Bitget invoked, the counterparty’s public response, the comparison case of Hyperliquid’s JELLY incident, and the corresponding finality and reversal provisions in the published terms of four peer venues (Binance, Bybit, Hyperliquid, CME). The comparative record shows that the crypto venues examined generally reserve broad discretionary reversal powers while publishing comparatively limited ex ante procedural constraints relative to the CME framework examined. The paper’s contribution is a structured factual record, including a comparative table, that practitioners, regulators, and researchers can cite.

Keywords: centralised cryptocurrency exchange; perpetual futures; trade reversal; market maker; manifest error; exchange governance; settlement finality

JEL codes: G14, G18, G28, K22

1. Introduction

This paper documents one incident on one centralised cryptocurrency exchange. On 20 April 2025, between 08:00 and 08:30 UTC, the VOXELUSDT perpetual futures contract on Bitget experienced trading volume and price movements that the exchange subsequently characterised as abnormal. Bitget suspended a set of accounts, reversed trades, and announced a compensation programme. One counterparty operating under the pseudonym “qntxxx” disputed the exchange’s account and stated its intent to bring legal action against Bitget’s Singapore entity.

The paper has four aims. First, to establish a dated record of what each party stated publicly. Second, to identify the specific contractual provisions in Bitget’s published terms that the exchange’s actions appear to invoke. Third, to place the incident alongside the Hyperliquid–JELLY incident of March 2025, on which Bitget’s own chief executive had previously made public statements. Fourth, to set Bitget’s finality and reversal provisions in industry context by comparing them with the corresponding provisions of four peer venues.

A consistent feature emerges from the comparison. The trade-reversal provisions in the user-facing terms of the four crypto venues examined are framed as discretionary powers reserved to the venue rather than as procedures triggered by defined conditions. The CME rules examined are framed differently: they define reviewable ranges, review windows, and an appeals mechanism. The paper documents this contrast without adjudicating its significance for any particular outcome.

The paper passes no judgement on any party. The paper’s contribution is the documentary record itself, including the comparative table in Section 7.

This paper is descriptive and is adjacent to, rather than within, three established literatures. The market-microstructure literature on continuous-limit-order-book exchange design (Budish,

Cramton, & Shim, 2015) examines the consequences of design choices at the millisecond level, including for matching and order priority. The cross-venue cryptocurrency literature (Makarov & Schoar, 2020) documents persistent arbitrage spreads between crypto exchanges and the limits-of-arbitrage frictions that sustain them. The literature on market integrity and disclosure at centralised crypto exchanges (Cong, Li, Tang, & Yang, 2023) documents fabricated volume and exchange-level manipulation made possible by concentrated venue power and limited disclosure. The present paper does not extend or test any of these. It records a single incident and a comparative contractual record that may be of use to subsequent work in those literatures.

Section 2 sets out the institutional background, including a definitional note on settlement finality. Section 3 presents the dated chronology. Section 4 summarises the stated positions of Bitget and of qntxxx. Section 5 documents the Hyperliquid–JELLY comparison case. Section 6 examines the contractual basis Bitget’s published terms provide for the actions taken. Section 7 sets those provisions alongside the corresponding terms of Binance, Bybit, Hyperliquid, and CME. Section 8 concludes.

2. Institutional background

Bitget operates a centralised cryptocurrency exchange offering spot trading, perpetual futures, and related services. The operating entity identified in Bitget’s published Terms of Use (Specific Users) is BGR Tech Limited, a company incorporated in the Republic of Seychelles. Bitget also maintains a separate Singapore entity, which qntxxx identified as the intended defendant in any litigation.

Perpetual futures are leveraged contracts without a fixed expiry date. On Bitget, as on peer exchanges, perpetual contracts are matched on a central limit order book in which both retail users and designated market makers may post quotes. Bitget operates a market-maker programme that the exchange publicly describes through its institutional services pages and open API.

Bitget’s published terms reserve a range of discretionary powers, including the suspension of accounts, the cancellation and reversal of trades, and the closure of open positions. Those provisions are examined in Section 6.

2.1 Settlement finality: a definitional note

This subsection defines two terms used throughout the paper without further elaboration. The paper takes no position on the normative content of either term.

Settlement finality refers to the contractual or rule-based principle that a trade, once executed and cleared, is treated as legally complete and is not subject to reversal. In regulated derivatives markets, finality is operationalised by venue rules and clearing-house procedures that specify when finality attaches, what categories of error may trigger review, what review ranges apply, what claim windows apply, and what appeals mechanism resolves disputes. The CME rules examined in Section 7.4 are an example of this approach.

Reversibility refers to the corresponding venue power to void, cancel, reverse, or adjust an executed trade. Venue terms may frame reversibility as a defined exception to finality, or as a discretionary power reserved to the venue, or as both. The contractual record examined in this paper documents which framing each of the five venues adopts.

Section 7.6 records what the comparative record shows and notes four observations that follow from it.

3. Chronology

This chronology is drawn from Bitget’s own announcements, from a contemporaneous interview given by qntxxx to Wu Blockchain, and from secondary reporting. All times are UTC unless otherwise stated. Sources for each entry are listed in the Appendix source table.

20 April 2025, 08:00–08:30 UTC. Bitget subsequently states that abnormal trading activity occurred in the VOXELUSDT perpetual futures market during this thirty-minute window. The

exchange states that VOXELUSDT trading volume briefly exceeded the exchange’s reported Bitcoin trading volume during the relevant interval.

20 April 2025, later same day. The head of Bitget’s China region publishes a preliminary statement on X confirming that the exchange has noticed abnormal behaviour in the VOXELUSDT contract and is investigating. The statement emphasises that trading, deposits, and withdrawals are otherwise functioning normally.

20 April 2025. Bitget Support Center publishes a notice titled “Notice on Abnormal Trading of VOXELUSDT Perpetual Futures.” The notice states that an investigation has identified accounts that “potentially engaged in market manipulation,” that affected accounts have been “temporarily suspended from trading, deposit, and withdrawal functions,” that Bitget “will initiate a rollback of irregular trades within twenty-four hours,” and that “for users who traded the VOXELUSDT contract between 08:00 and 08:30 (UTC) on April 20 and incurred losses during this period, a compensation plan will be offered.”

The term “rollback” as used in this paper refers to an internal reversion of account balances, profit-and-loss records, and clearing entries on Bitget’s centralised database. The VOXELUSDT perpetual futures contract is an internal Bitget product matched on Bitget’s order book; trades in this product are not on-chain events, and the reversion did not involve any modification of a distributed ledger.

20 April 2025. Bitget chief executive Gracy Chen tells Cointelegraph that the trades the exchange characterised as abnormal occurred “between individual market participants” and were not the result of an issue with the platform itself. Chen confirms that losses are not platform-wide and that user funds remain secure.

22 April 2025. Bitget announces that the transaction rollbacks and account recoveries have been “basically completed” and that compensation for affected users is in progress. The same communication states that the exchange is conducting a “secondary internal review” in response to user complaints about incorrect fee deductions and inaccurate profit-and-loss calculations following the rollback. This acknowledgement, together with qntxxx’s later statements

summarised in Section 4.2, forms the basis of the disagreement recorded in Section 4.4 on whether the rollback process produced collateral damage to user accounts.

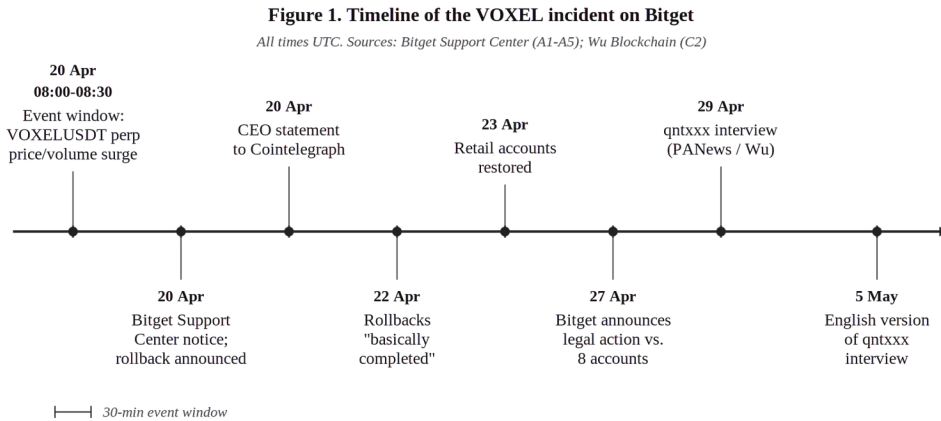
27 April 2025. Bitget announces its intention to pursue legal action against eight accounts that the exchange identifies as the principal beneficiaries of the activity it characterised as manipulative. The communication states that total profits the exchange characterised as abnormal and withdrawn before risk controls were triggered amounted to approximately thirty-eight million three hundred thousand United States dollars, of which approximately twenty million was associated with the eight flagged accounts. Approximately nineteen million dollars withdrawn by retail users prior to the trigger of risk controls would not be pursued. Bitget commits to distributing one hundred per cent of recovered funds to platform users through an airdrop.

29 April 2025. PANews publishes an interview, conducted by Wu Blockchain, with the pseudonymous market maker qntxxx. qntxxx states that the trading team consists of two persons, that the team began high-frequency trading on Binance in 2022, and that the team became contract and spot market makers on Bitget in late 2024. qntxxx states that the team's profits from the VOXEL event totalled approximately forty-three million United States dollars across roughly one hundred sub-accounts, of which approximately ten million had been withdrawn at the time of the interview.

5 May 2025. Wu Blockchain publishes the English-language version of the same interview. qntxxx confirms receipt of two of the nine legal notices Bitget had begun to send, states the team's intent to sue Bitget's Singapore entity for what qntxxx characterised as "unauthorised fund seizures," and characterises the rollback process as having produced mismatched balances and incorrect fee deductions, including from wealth-management accounts. The article presents Bitget's responses inline. Bitget states that the rollback was intended to reverse only abnormal profits and losses, that users' principal and fees were unaffected by the rollback, that fee over-deductions were refunded, and that no user lost principal or fees as a result of the incident.

The number of legal notices is recorded differently by the two parties: Bitget’s 27 April communication states eight; qntxxx’s interview states nine, of which qntxxx had received two. The paper records both figures without resolving the discrepancy.

Figure 1 summarises the timeline.



4. Stated positions of the parties

4.1 Bitget’s stated position

Bitget’s official statements describe the events as the conduct of a small number of accounts that the exchange characterised as engaged in market manipulation. The exchange does not, in its public statements, accept that any malfunction of its own market-making infrastructure caused the price movements. Where Bitget’s statements describe causation, they refer to “abnormal trading activity” and the conduct of “certain accounts” rather than to any internal system failure.

Bitget’s stated remedial actions, in order, are: account suspension, trade rollback, compensation for users who suffered losses during the event window, legal action against what the exchange identified as eight accounts that were the principal beneficiaries, and airdrop of recovered funds to platform users.

Bitget’s stated policy on retail withdrawals is that approximately nineteen million United States dollars withdrawn by retail users between 08:00 and 08:30 UTC on 20 April was not subject to clawback after Wednesday 23 April, when the affected retail accounts were restored.

4.2 qntxxx’s stated position

qntxxx’s account, as given to Wu Blockchain, differs from Bitget’s in three respects. First, qntxxx attributes the price movements to a malfunction of Bitget’s own market-making bot rather than to manipulation by the trading accounts. qntxxx describes the relevant order-book pattern as “chaotic candlestick movements” of a type that, on qntxxx’s account, conforms to legitimate high-frequency lead-lag strategies. Second, qntxxx states that the team’s profit was approximately forty-three million dollars rather than the approximately twenty million attributed by Bitget to the eight flagged accounts collectively; qntxxx attributes the discrepancy to the involvement of other market participants in the short trading window. Third, qntxxx states an intention to sue Bitget’s Singapore entity on the basis that the exchange’s reversal of withdrawn funds constituted what qntxxx characterised as “unauthorised fund seizures.”

qntxxx’s stated position on the rollback process is that the process produced mismatched balances and incorrect fee deductions, including from wealth-management accounts. Bitget’s inline response in the same article states that all fee over-deductions were refunded and that no user suffered a loss of principal or fees.

4.3 Points on which the parties agree

The parties’ public statements agree on the following points: that the event window was approximately thirty minutes commencing 08:00 UTC on 20 April 2025; that the affected market was the VOXELUSDT perpetual futures contract; that twenty-four-hour trading volume on this contract briefly exceeded the platform’s Bitcoin volume; that Bitget initiated a rollback within twenty-four hours; and that withdrawn funds in retail accounts not associated with the flagged accounts would not be pursued.

4.4 Points on which the parties disagree

The parties' public statements disagree on the following points: the cause of the price movements; the characterisation of the activity as manipulation versus legitimate trading; the magnitude of the relevant profits; the number of legal notices issued; and whether the rollback process produced collateral damage to user accounts that was not subsequently remedied.

5. Comparison case: Hyperliquid and JELLY (March 2025)

The Hyperliquid–JELLY incident of March 2025 is included for comparative documentation.

On 26 March 2025, public reporting described a trader operating on the decentralised perpetual futures venue Hyperliquid as having established hedged long and short positions in the Jelly-my-Jelly (JELLY) token. Public reporting indicates that the price of JELLY rose by approximately four hundred per cent over a short interval and that the resulting liquidation of short positions was sufficiently large to be absorbed by Hyperliquid's Hyperliquidity Provider Vault (specifically, the HLP Liquidator child-vault). Hyperliquid's validator set then voted to delist the JELLY perpetual contract and to settle outstanding positions at a price the validators determined.

In a public statement on X, Hyperliquid wrote: "After evidence of suspicious market activity, the validator set convened and voted to delist JELLY perps. All users apart from flagged addresses will be made whole from the Hyper Foundation. This will be done automatically in the coming days based on onchain data." Hyperliquid's published documentation describes the delisting procedure as follows: "Validators vote on whether to delist validator-operated perps. If validators vote to delist an asset, the perps will settle to the 1 hour time weighted spot oracle price before the scheduled delisting voting time."

Bitget chief executive Gracy Chen publicly commented on the Hyperliquid response. Contemporaneous reporting recorded Chen as characterising Hyperliquid's decision to close the JELLY market and force settlement as setting "a dangerous precedent." Following the VOXEL incident, multiple outlets noted that Bitget's own actions — account suspension, trade reversal, and

compensation — were structurally similar to those Chen had publicly criticised in the Hyperliquid case. The paper records this comparison.

6. Contractual basis in Bitget’s published terms

This section identifies the specific provisions of Bitget’s published terms that authorise the actions Bitget took. The clauses are quoted as they appear in publicly accessible Bitget Support Center articles at the snapshot dates listed in the Appendix.

6.1 Spot Trading Terms

Clause 3.5 of the Spot Trading Terms reserves to Bitget the right, “without liability to you, to process an Order, decline to process an Order, suspend, cancel, reverse, void or partially execute your Orders at our discretion.”

Clause 8.2 states a general rule of settlement finality together with enumerated exceptions: “Settlement is final and we will not reverse a Transaction unless, (i) Bitget is required to do so by Applicable Law; (ii) we are entitled to reverse the Transaction under these Terms or the Terms of Use; (iii) the Order, Matching or Settlement, or any parameter relevant to the foregoing, was affected by Manifest Error; or you have not complied with these Terms.”

6.2 Futures Services Agreement

Clause 8.3 of the Futures Services Agreement provides, in the event of a Default under Clause 8.1(n) of that agreement, that Bitget reserves the right to “unwind or reverse any Transactions, freeze any or all amounts allocated to User’s Futures Account, and/or deduct any amounts allocated to your Futures Account that relate to or arise out of any Transactions entered in connection with any of the circumstances referred to in Clause 8.1(n).”

Clause 9.4 of the same agreement provides that Bitget “reserve[s] the right to void, cancel or reverse any Transaction involving or deriving from a Manifest Error or to amend the details of such Transaction to reflect what we reasonably consider to be the correct or fair details of such a

Transaction.” Clause 9.5 provides that, “in the absence of fraud or bad faith of Bitget, Bitget shall in no circumstances be liable to you for any Loss or demand of whatsoever nature which you may suffer or incur in connection with any Manifest Error howsoever arising.”

6.3 Terms of Use

Clause 5.10 of the Terms of Use provides that Bitget “may rectify any error in your Account History at any time, and reserve the right to void, cancel or reverse any Transaction involving or deriving from an error or to make any corresponding adjustments to such Transaction to correct a mistake or if we have reasonable grounds for doing so.”

Clause 8.2 of the Terms of Use further provides that decisions to suspend, close, or restrict access “may be based on confidential criteria that are essential to our risk management and security protocols” and that Bitget is “not obliged to disclose details of our risk management and security protocols.”

A separate Terms of Use applicable to specified users provides that Bitget may suspend or terminate services where it determines in its sole and absolute discretion that the user has violated the agreement, and reserves equivalent authority “in the event of extreme market volatility.”

6.4 TradFi Service Terms

Clause 4.7 of the Bitget TradFi Service Terms states, “Subject to clause 4.14 of these Terms, once an order has been executed, the transaction may not be reversible.” The TradFi product is a separate service from the spot and perpetual products in which the VOXEL incident occurred. The clause is included to record the variation in finality language across Bitget products.

6.5 Governing law and dispute resolution

Bitget’s published terms specify a governing-law jurisdiction and a dispute-resolution mechanism. Clause 9.1 of the Bitget Wallet Terms of Use provides: “This Agreement shall be governed by, and construed in accordance with, the laws of Hong Kong without regard to any choice or conflict of

laws rules.” The same agreement requires waiver of jury-trial rights and channels disputes through an informal-notice procedure followed by binding arbitration where the informal procedure does not resolve the dispute within thirty days. Clause 9.6 imposes confidentiality on arbitration proceedings, judgments, and awards. Clause 9.7 reserves to Bitget the right to seek injunctive or equivalent urgent legal relief in any jurisdiction.

The paper records two factual observations on this provision. First, qntxxx’s stated intention is to bring legal action against Bitget’s Singapore entity. Bitget’s published terms nominate Hong Kong as the governing-law jurisdiction and arbitration forum. The paper does not assess whether the arbitration clause is enforceable against qntxxx in any particular jurisdiction, whether the clause survives consumer-protection legislation in any particular jurisdiction, or whether the Singapore entity is the appropriate defendant under the terms. Second, the arbitration-confidentiality provision constrains the public availability of the eventual dispute record. Any future research relying on the contractual record will face a documentary asymmetry: the venue’s terms are public, but the dispute-resolution outcomes operating under those terms are not.

6.6 Observations on the contractual record

Bitget’s published terms reserve broad discretionary authority to reverse trades, freeze funds, and adjust account balances. The terms include both a general statement of settlement finality (Spot §8.2) and broad exceptions to that finality (Spot §3.5; Futures §8.3; Futures §9.4; Terms of Use §5.10). The exceptions are not exhaustively defined. “Manifest Error” is not defined in the publicly accessible clauses examined; “abnormal” and “irregular” are not used as defined terms.

The clauses are framed as powers held by Bitget rather than as triggers conditioned on the source of an error. They do not, in the clauses examined, distinguish between cases in which an error originates with a user and cases in which an error originates with the exchange’s own systems.

7. Bitget’s terms in industry context

This section sets Bitget’s finality and reversal provisions alongside the corresponding provisions of four peer venues: Binance (centralised), Bybit (centralised), Hyperliquid (decentralised), and CME (regulated derivatives exchange in the United States). Source URLs and snapshot dates are listed in Appendix F.

7.1 Binance

Binance’s Terms of Use contain reversal language closely parallel to Bitget’s. Binance reserves the right to “void, cancel or reverse any Transaction involving or deriving from a Manifest Error or to amend the details of such Transaction to reflect what we reasonably consider to be the correct or fair details of such a Transaction.” Binance further reserves the right to “refuse to complete or block, cancel, or, where permitted by Applicable Law, reverse any Transaction you have authorised” in a range of enumerated circumstances. The Binance Terms do not publish defined trading ranges, claim windows, or arbitration procedures within the user agreement itself.

7.2 Bybit

Bybit’s Private Wealth Management Service Agreement provides that Bybit “may rectify any error in your Account at any time and reserve the right to void or reverse any transaction in the following instances: involving or deriving from a manifest error” or “to reflect what we reasonably consider to be the correct or fair details of the transaction.” Bybit’s general Terms of Service incorporate derivatives-specific risk arrangements, including an Auto-Deleveraging mechanism under which “higher ranked profitable traders will get their winning positions partially or fully closed, depending on the size of the losses, to cover for other traders’ bankruptcies.” Bybit’s Terms describe Auto-Deleveraging as activating only after the insurance fund is depleted.

7.3 Hyperliquid

Hyperliquid is a decentralised perpetual futures venue. The platform’s published documentation describes delisting as a validator-vote mechanism: “Validators vote on whether to delist validator-operated perps. If validators vote to delist an asset, the perps will settle to the 1 hour time weighted spot oracle price before the scheduled delisting voting time.” In the JELLY incident, Hyperliquid stated in its public communication that compensation would be paid from the Hyper Foundation rather than through a contractual provision in user-facing terms.

7.4 CME

CME Rule 588 (“Trade Cancellations and Price Adjustments”) authorises the Global Command Center to adjust trade prices or cancel trades where it determines such action is necessary to mitigate market-disrupting events. The rule combines structured procedural elements with reserved staff discretion. Rule 588.H publishes Non-Reviewable Ranges for each contract. Rule 588.B provides that the Global Command Center conducts reviews. Rule 588.C provides that price adjustment is the principal method of resolving trades executed outside the Non-Reviewable Range. Rule 588.E imposes financial responsibility on the party that entered an order resulting in a price adjustment or trade cancellation; a claimant must file a claim within five business days, and claims for losses on error trades executed within the Non-Reviewable Range may not be submitted for arbitration. Disputed claims are resolved through Market Regulation Department arbitration under Chapter 6. The Global Command Center retains the authority to adjust or cancel trades where it determines such action is necessary to mitigate market-disrupting events; the contractual record examined here documents that this authority is exercised against published ranges, a published claim window, and a published appeals procedure that the four crypto venues examined do not publish.

7.5 Comparative table

Table 1 sets out the corresponding provisions of the five venues.

Table 1. Trade reversal and finality provisions across five venues.

Provision	Bitget	Binance	Bybit	Hyperliquid	CME
Finality statement	Spot §8.2: “Settlement is final” subject to enumerated exceptions	None equivalent in user-facing Terms	None equivalent in user-facing Terms	No general finality statement in user docs	All trades final subject to Rule 588
Manifest Error reversal	Futures §9.4; Terms of Use §5.10	Terms: void/cancel/reverse on Manifest Error	Private Wealth Mgmt §18: void/reverse on manifest error	No equivalent contractual clause	Rule 588.C: price adjustment outside Non-Reviewable Range
Defined reviewable range	None	None	None	None	Yes (Rule 588.H)
Defined claim window	None	None	None	None	Five business days (Rule 588.E)
Reversal authority	Bitget’s sole discretion	Binance’s sole discretion	Bybit’s sole discretion	Validator vote (delisting)	Global Command Center (CME staff)
Independent review	None disclosed	None disclosed	None disclosed	None disclosed	Market Regulation arbitration (Ch. 6)
Defined appeals process	None disclosed	None disclosed	None disclosed	None disclosed	Chapter 6 arbitration; 5-day claim window
Compensation source	Recovered funds airdropped; protection fund referenced	Not specified in Terms	Insurance fund and ADL ranking	Hyper Foundation (discretionary)	Liable counterparty (Rule 588.E)
Liability limitation	“No liability” absent fraud/bad faith (Futures §9.5)	Broad limitation of liability clauses	Broad limitation of liability clauses	Not addressed in user docs	Loss-claim mechanism (Rule 588.E)
Disclosure of risk-control criteria	“Not obliged to disclose” (Terms of Use §8.2)	Not addressed	Not addressed	Validator process is on-chain	Rules published; ranges published
Operating entity	BGR Tech Limited (Seychelles)	Multiple, varies by region	Bybit Technology Limited	Hyperliquid Labs / validator set	Chicago Mercantile Exchange Inc.

Provision	Bitget	Binance	Bybit	Hyperliquid	CME
					(US-regulated DCM)

7.6 Observations on the comparative record

Four observations follow from the table; each is descriptive of the contractual record and not normative.

First, three of the four centralised venues examined (Bitget, Binance, Bybit) use closely parallel “Manifest Error” language. The phrasing in each case reserves a discretionary power to the venue rather than defining the conditions under which the power is triggered.

Second, only the CME rules examined publish a defined reviewable range, a defined claim window, and an independent review process. The four crypto venues examined do not, in their user-facing terms, publish equivalent definitions.

Third, the four crypto venues examined provide compensation through different mechanisms: clawback and airdrop (Bitget), unspecified in the user-facing terms (Binance), insurance fund and Auto-Deleveraging ranking (Bybit), and discretionary payment from a foundation (Hyperliquid). The CME framework examined includes explicit loss-allocation and claims procedures (Rule 588.E).

Fourth, the contractual records examined differ in their procedural form. In regulated futures markets, the trade-review procedures examined in this paper specify ex ante review ranges, review windows, and appeals mechanisms. The crypto venue terms examined here generally reserve broad discretionary authority while publishing comparatively limited ex ante procedural constraints — a feature this paper labels “procedural opacity” in the descriptive sense that the criteria, ranges, and review processes are not disclosed in the user-facing terms examined.

8. Conclusion

This paper has documented the Bitget VOXEL incident of 20 April 2025 from primary sources. The dated chronology, the parties' stated positions, the comparison with the Hyperliquid–JELLY incident, the relevant Bitget contractual provisions, and a comparative table of the corresponding provisions of four peer venues are recorded as they appear in publicly accessible sources.

The paper offers no normative assessment. Questions on which adjudicators and reviewers may wish to form views — whether the trading activity constituted manipulation, whether the rollback was a proper exercise of Bitget's discretionary powers under the terms, whether the rollback caused uncompensated collateral harm, whether Bitget's response was consistent with positions its chief executive had previously taken in respect of comparable conduct by other venues, and whether the structural differences identified in Section 7 produce material differences in user outcomes — are noted but not answered.

The factual record set out in Sections 3 to 7 may support several lines of further research. First, an order-book reconstruction of the thirty-minute event window, conditional on data availability, could test the qntxxx characterisation of the trading pattern as legitimate lead-lag activity against alternative characterisations. Second, the comparative table in Section 7.5 could be extended to additional venues, additional product classes, and additional jurisdictions, with a scoring rubric for ex ante procedural clarity, defined claim windows, and defined appeals processes. Third, the enforceability of Bitget's Hong Kong arbitration clause documented in Section 6.5 could be assessed against the consumer-protection regimes of Singapore, Seychelles, and the jurisdictions in which Bitget's other operating entities are registered. The paper does not undertake any of these analyses.

Disclosure

The author received no funding for this research. The author has no financial interest in Bitget, Hyperliquid, or any market maker or trader identified in this paper.

AI Use Statement

The author used Anthropic Claude during the preparation of this manuscript. AI assistance was used in three respects: (i) locating and organising primary and secondary sources cited in the Appendix; (ii) drafting prose under the author’s direction, structure, and scope; and (iii) copy-editing the author’s revisions. Every factual claim in the manuscript was verified by the author against the underlying sources. All editorial decisions — scope, framing, source selection, sectional structure, and the choice not to offer normative assessments — were made by the author. The author takes full responsibility for the integrity, accuracy, originality, and scholarly validity of all content in the manuscript, regardless of whether AI tools were used.

This disclosure is provided in the form recommended by SSRN and conforms to Modern Finance’s AI Use Statement requirement.

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Makarov, I., & Schoar, A. (2020). Trading and arbitrage in cryptocurrency markets. *Journal of Financial Economics*, 135(2), 293–319. <https://doi.org/10.1016/j.jfineco.2019.07.001>

The documentary sources for the case study itself — Bitget Support Center notices, Bitget governing documents, the Wu Blockchain interview with qntxxx, contemporaneous secondary

reporting, Hyperliquid documentation, and CME rule filings — are listed in the Appendix source table that follows.

Appendix: source table

The numbered references below correspond to the categories used in the chronology and the discussion in the main text. Wayback Machine snapshots of all Bitget Support Center, Bitget News, and peer-exchange terms URLs were taken on [DATE OF SUBMISSION] to lock the sources against future edits.

A. Bitget primary sources

- **A1.** Bitget Support Center, “Notice on Abnormal Trading of VOXELUSDT Perpetual Futures,” 20 April 2025. <https://www.bitget.com/support/articles/12560603825918>
- **A2.** Bitget News, “Bitget Detects Abnormal VOXEL Activity, Launches Trade Rollback and Compensation Plan,” 20 April 2025. <https://www.bitget.com/news/detail/12560604713239>
- **A3.** Bitget News, “The Blockchain Bulletin April 22: Bitget Flags Suspicious VOXEL Surge,” 22 April 2025. <https://www.bitget.com/news/detail/12560604713676>
- **A4.** Bitget News (republishing of crypto.news), “Bitget scrambles to compensate traders after VOXEL futures glitch sparks perps frenzy,” 22 April 2025. <https://www.bitget.com/news/detail/12560604714702>
- **A5.** Bitget News (republishing of CryptoSlate), “Bitget to pursue legal action against 8 users who profited over \$20M from VOXEL trading fiasco,” 27 April 2025. <https://www.bitget.com/news/detail/12560604726803>

B. Bitget governing documents

- **B1.** Terms of Use, Bitget Support Center. <https://www.bitget.com/support/articles/360014944032-terms-of-use>
- **B2.** Spot Trading Terms, Bitget Support Center. <https://www.bitget.com/support/articles/12560603829398>
- **B3.** Futures Services Agreement, Bitget Support Center. <https://www.bitget.com/support/articles/7700532076057>

- **B4.** Terms of Use (Specific Users), Bitget Support Center.
<https://www.bitget.com/support/articles/12560603812248>
- **B5.** TradFi Service Terms and Conditions, Bitget Support Center.
<https://www.bitget.com/support/articles/12560603839968>
- **B6.** Bitget Wallet Terms of Use. <https://web3.bitget.com/resource/newTerms.html>

C. Counter-party statements

- **C1.** “Dialogue with Bitget’s high-frequency market maker,” PANews, 29 April 2025 (English translation of Wu Blockchain interview). <https://www.panewslab.com/en/articles/82u21mz8>
- **C2.** “How Two High-Frequency Traders Exploited an Exchange Loophole to Make \$43 Million,” Wu Blockchain on Medium, 5 May 2025.
- **C3.** “How Two High-Frequency Traders Exploited an Exchange Loophole,” Wu Blockchain on Substack, 5 May 2025. <https://wublock.substack.com/p/how-two-high-frequency-traders-exploited>

D. Secondary reporting (Bitget event)

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F. Bitget peer-exchange comparison sources (Section 7)

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- **F2.** Bybit Platform Terms of Service. <https://www.bybit.com/en/help-center/article/Bybit-Terms-of-Service>
- **F3.** Bybit Private Wealth Management Service Agreement. <https://www.bybit.com/en/help-center/article/Agreement-for-Private-Wealth-Management-Service>
- **F4.** Hyperliquid Docs, “Delisting” (also cited as E2).
- **F5.** CME Rulebook, Chapter 5, Rule 588 (“Trade Cancellations and Price Adjustments”). <https://www.cmegroup.com/rulebook/CBOT/I/5.pdf>
- **F6.** CME Special Executive Report S-5814, “Revisions to Rule 588.E.,” 24 June 2011. https://www.cmegroup.com/rulebook/files/S_5814_-_Revisions_to_Rule_588E_-_6-24-2011.pdf
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